Indonesia: MSCI downgrade threat intensifies pressure for market reforms

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Indonesia's stock market faces foreign capital outflow risks after MSCI threatened to downgrade its emerging-market status, with investor confidence h

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Indonesia
By Olga Letticia, Peter Mumford
Short-term trajectory:
Long-term trajectory:

Government response to MSCI will determine investor confidence. Indonesia’s stock market fell 11.6% on 16 October, its steepest one-day decline since 1998, before dropping another 5% on 19 October to a six-year low. The market rebounded by 5% on 20 October, though the index remains vulnerable to volatility as investors assess whether the proposed reforms will address MSCI’s concerns. The sell-off followed MSCI’s threat to reclassify Indonesia from emerging-market to standalone-market status next year. MSCI cited persistent concerns about opaque shareholding structures, suspected coordinated trading, and insufficient regulatory enforcement. It also said existing measures—including disclosure of shareholdings above 1%, more granular investor classifications, reporting on concentrated shareholdings, and plans to raise the minimum free float to 15%—have not yet produced enough improvement. MSCI’s final decision is expected by the end of June 2027.

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President Prabowo Subianto convened economic officials to discuss the market turmoil following MSCI’s statement; senior contacts told Eurasia Group that they are frustrated by MSCI’s action despite Jakarta rolling out a series of reforms this year to address the issues raised. The Indonesia Stock Exchange

(IDX) met with MSCI on 19 October to seek clarification. It then cut the daily downside limit for individual stocks to 7% from 15% to contain volatility. The exchange also said it would exclude stocks with highly concentrated ownership from the Jakarta Composite Index, including Dian Swastatika Sentosa and Barito Renewables Energy. However, MSCI removed those two stocks from its Global Standard Index in May, so the latest change will have limited effect. Meanwhile, the Financial Services Authority (OJK) has pledged to continue reforms and address MSCI's concerns, and it has also imposed substantial sanctions in cases involving suspected market manipulation.

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The sell-off could accelerate foreign capital outflows and weaken the rupiah; nevertheless, Bank Indonesia held rates steady on 21 October, in line with its preference to use other measures to support the currency. More broadly, the turmoil could deepen investor concerns about institutional erosion, corruption risks, and weakening regulatory independence under Prabowo, particularly if market reforms are undermined by weak enforcement or political interference.

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Key watchpoints include implementation of IDX's new measures, any emergency steps announced by Prabowo's economic team, and whether OJK and the exchange publish a credible timetable to address ownership transparency and enforcement gaps. Notably, FTSE Russell reaffirmed Indonesia's secondary emerging-market status on 7 October, which suggests that other global index providers may view Indonesia's reform efforts more favorably.

ASEAN

By Olga Letticia

Transboundary haze raises regional pressure on Prabowo to tighten enforcement. Indonesia's forest and peatland fires intensified in October, generating hazardous air pollution and transboundary haze. The crisis has renewed scrutiny of controversial land-clearing practices and persistent enforcement gaps that contribute to recurring haze episodes.

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Singapore is taking the region's toughest approach. The city-state issued preventive notices to ten companies under its Transboundary Haze Pollution Act and suggested there would be tighter scrutiny of financing and commercial ties linked to fire-prone concessions. The measures increase legal, financing, and reputational risks for agribusiness firms and investors.

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Malaysia is instead emphasizing regional cooperation. Prime Minister Anwar Ibrahim has proposed an ASEAN-level mechanism to combat haze and is prioritizing diplomacy over legal action. However, ASEAN's consensus-based approach and reluctance to interfere in members' domestic affairs will limit efforts to impose stronger cross-border accountability.

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The key watchpoint is whether Singapore's actions and other external pressure prompt stronger enforcement and tangible consequences for companies linked to fires. Ultimately, that outcome will depend on whether Prabowo's government is willing to make a serious effort to strengthen accountability and oversight.

Malaysia

By Fadli Yusoff

Short-term trajectory:

Long-term trajectory:

Court ruling on opposition's suspension will shape the electoral outlook. On 20 October, the Registrar of Societies (ROS) canceled the registration of the opposition coalition Perikatan Nasional (PN) for regulatory breaches, effectively dissolving the bloc. However, the decision does not affect the status of the coalition's individual parties.

*

The deregistration decision comes ahead of a High Court hearing scheduled on 22 October to decide on PN's application to set aside an earlier ROS suspension order (a precursor to the deregistration). If the court rejects the application, the deregistration will likely take effect without hindrance. PN would then be unable to contest the 14 November Melaka state election as a coalition or use its logo in election activities, weakening its electoral prospects. The PN brand has broader appeal than the brands of its individual member parties, especially among moderate and non-Muslim voters, because it softens the ultraconservative image of its largest member, Parti Islam Se-Malaysia (PAS). PN will likely file a formal appeal to the home minister and separate legal challenge to the latest ROS decision to deregister the coalition.

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Deregistration would also push PN toward closer electoral cooperation with the Barisan Nasional (BN) coalition, which supports Anwar's federal government but competes in state elections. BN's coordination with PN would help limit vote splitting and allow both coalitions to capitalize on Malay-Muslim identity politics. Cooperation in Melaka could also lay the groundwork for an arrangement before the general election, which we expect in late 2027.

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However, working with BN would leave PN with fewer seats to contest, making some PN parties reluctant to support a tie-up. BN's candidate announcement on 28 October will likely serve as the deadline to decide whether the two coalitions will cooperate in the state election. Previous efforts by BN and PAS to work together at the federal level collapsed over seat allocation disagreements. Building a federal coalition for the general election will be even more complex than reaching a deal in Melaka, and failure to do so would ultimately benefit Anwar.

Vietnam
By Melinda Hoe
Short-term trajectory:
Long-term trajectory:

Hanoi expects more foreign financing as infrastructure needs grow. Under Vietnam's revised public debt strategy for 2026–2030, released on 15 October, the ceiling for external debt is now 50% of GDP, up from 45%.

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Other debt ceilings remain unchanged, and total public debt stays capped at 60% of GDP. At the end of 2025, public debt stood at about 35% of GDP, while external debt stood at about 31%.

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The higher external debt ceiling reflects Vietnam's expectation that it will need more foreign financing as the economy grows. Several large infrastructure projects will require that support, including the China-backed Lao Cai-Hanoi-Hai Phong railway and the Ninh Thuan 2 nuclear project, which Hanoi is discussing with South Korea. Reports also indicate that UK Export Finance plans to provide up to $2.5 billion to help extend Ho Chi Minh City's metro line to its soon-to-open new airport. Foreign financing will be critical because Hanoi faces an infrastructure funding gap of $100 billion–$200 billion over the

next decade, according to various estimates.

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Meanwhile, the Ministry of Industry and Trade has proposed ending the Petrol Price Stabilization Fund on 1 January 2027. Vietnam has used the fund rather sparingly, even during the energy crisis, and added only about $300 million earlier this year. Eliminating the fund would help Hanoi avoid potentially costly subsidies. Authorities have proposed alternative price-stabilization measures, including temporary maximum prices, price bands, or fixed prices when needed, though it remains unclear how those mechanisms would work.

New Zealand

By Fadli Yusoff

Tight election expected, with incumbent coalition holding a narrow edge. New Zealand's general election will take place on 7 November.

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Prime Minister Christopher Luxon's popularity has dipped since he took office in November 2023 amid weak economic growth and rising unemployment. The global energy crisis has added pressure on the fuel import-dependent country and further weakened Luxon's prospects for remaining in power.

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Opinion polls indicate that neither Luxon's National Party nor the opposition Labour Party, led by Chris Hipkins, is likely to secure a parliamentary majority, making support from smaller parties crucial. Surveys also show that the incumbent coalition of National, ACT, and New Zealand First holds a narrow lead over the left-leaning bloc of Labour, the Greens, and Te Pāti Māori. The Opportunities Party, a centrist grouping, has also gained ground, polling at around 5%, and could become a kingmaker for either coalition.

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Cost-of-living pressures, economic management, and public services will probably dominate the campaign. National has pledged not to introduce new taxes and supports spending restraint and incentives for business investment. Labour has proposed greater support for public services, partly funded by a capital gains tax on sales of residential investment and commercial property. On foreign policy, Luxon and his allies have emphasized cooperation with Western partners, while Labour advocates a more independent approach.

Charting ASEAN

In its latest update, the IMF raised its 2026 and 2027 GDP growth forecasts for Vietnam by 1.3 and 0.8 percentage points, respectively (compared with the April projection), making the country Southeast Asia's expected growth leader by a wide margin. By contrast, the Philippines saw the sharpest downgrade (by 0.7 percentage points for both years) among the major ASEAN economies. This reflects the energy shock, inflation, sluggish government spending, and weaker investor confidence. The Philippines has also benefited less than several other large Southeast Asian economies from AI-related export gains. The IMF expects GDP growth in most ASEAN countries to hold steady or slow slightly next year. The update also highlights several downside risks, including a prolonged stalemate in the Middle East conflict, the prospect of an El Niño "super cycle," and renewed trade tensions.

Event calendar

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